

Krungthai

Management Discussion and Analysis

For the Year ended December 31, 2021

(Unaudited)

This report discusses the principal changes in the unaudited consolidated financial statement for the year ended December 31, 2021.

The Bank and Its Subsidiaries' Overview Performance

The Bank and Its Subsidiaries' Performance for Year of 2021

In 2021, Thailand faced the challenges from continuing new wave of Delta variant of COVID-19 pandemic during second and third quarters. Thus, government declared the series of tighten containment measures in order to limit the spread. Thereafter the daily COVID-19 cases gradually declined as well as the accelerated vaccination rollout to mitigate highly transmissible COVID-19 variants, the partially relaxation of COVID-19 containment measures and the reopening plan for tourism were implemented in September and 1st November respectively. As a result, domestic demand began to show signs of recovery in the fourth quarter of 2021. However, the firms have experienced an uneven recovery across sectors from the worsening scar left by the previous wave of COVID-19 pandemic (K-shaped recovery). Consequently, the Bank emphasized the prudent banking business especially on a close monitoring of asset quality management together with a gradual increase of coverage ratio given thorough considerations on various factors with high uncertainties. The Bank continuously provided assistant to the affected customers for both retail and business through 7 financial measures including instant short-term measures, specific to customers measures and long-term debt restructuring measure to support and alleviate the affected customers during their difficult times. The Bank played a key role to support the Covid-19 containment projects.

The Bank also develop technology and financial disbursement and payment structure as a key part to support the government stimulus schemes ie "Thai Chana" Platform, "Mor33 Rao Rak Kan" (financial relief package given to private employees covered by Section 33 of the Social Security Act), "Khon La Khrueng" (Let's Go Halves scheme), "Rao Tiew Duay Kan" (We Travel Together), "Ying Chai Ying Dai" (The More You Spend, The More You Get scheme to improve the living standard of people. In addition, on December 1, 2021, Fitch Ratings has upgraded the Bank's rating by one notch on both Foreign Currency Long-Term Rating to BBB+ and National Long-Term Rating to AAA (tha). The rating actions reflect KTB's resilience and prominent role to support government policy and its scheme over the course of the COVID-19 related economic challenges in Thailand.

The Bank and its subsidiaries' net profit attributable to equity holders of the Bank amounted Baht 21,588 million, increased by 29.0% YoY, driven by strong loan growth of 12.6% Ytd. Coverage ratio increased to 168.8% from 147.3% as at December 31, 2020 ratio given thorough considerations on various factors with high uncertainties. While being able to manage and continuously control asset quality,hence NPLs Ratio-Gross decreased to 3.50 % from 3.81% as at December 31, 2020. The expected credit losses has been set aside at the high level of Baht 32,524 million, however, decreased by 27.6% YoY.

The consolidated pre-provision profit before expected credit losses and income tax expenses in 2021 was Baht 63,055 million, a decrease of 8.3%YoY. The compression was attributable to the interest income from loan in relation to partial payment from the auction of mortgaged guarantee assets of Y2020. If excluding interest income received from the auction, pre-provision profit declined by 1.5% YoY in response to the low interest rate environment, hence NIM stood at 2.49%. Other operating expenses has been managed to decrease by 1.4%. This resulted in cost to income ratio of 45.5%, a similar level to cost to income ratio if excluding special transactions in 2020.

The Bank's Tier 1 and Total Capital ratios were 16.54% and 19.88% respectively, maintaining at a strong level as compared to BOT's requirement.

The Bank and Its Subsidiaries' Performance for 4Q2021

Comparing 4Q2021 to the same period of last year, the Bank and its subsidiaries' consolidated net profit attributable to equity holders of the Bank amounted Baht 4,944 million, increased by 43.2% YoY. This was mainly derived from total operating income expansion due to an increase in net interest income of 5.0% as the strong growth of quality loans, NIM stood at 2.47%, together with an increase in total other operating income. Other operating expenses increased by 5.6% from impairment loss of properties for sale.The Bank and its subsidiaries had set aside the expected credit losses of Baht 8,233 million, decreased by 11.0%, however, led to higher coverage ratio.

Compared to 3Q2021, KTB's consolidated total operating income expanded 5.6% from non-interest income together with an increase in net interest income of 1.0%, though other operating expenses increased 12.4% due to impairment loss of properties for sale, an increase in IT cost to support its digital strategy together with an increase in marketing activities and employee expenses as seasonality. Consequently, pre-provision profit before expected credit losses and income tax expenses decreased by 0.2%, result to the decline of net profit attributable to equity holders of the Bank of 2.2% QoQ. The expected credit losses were set aside in the similar level to previous quarter given thorough considerations on various factors with high uncertainties.

The Bank and its subsidiaries had incorporated Infinitas By Krungthai Co., Ltd. as a R&D hub for newly digitized financial products, becoming a service provider for various Innovation & Digital Platform, moving toward Open Banking, Virtual Digital Banking Service and new business model opportunities as well as strengthening mega platform such as Pao Tang Application as the country's digital infrastructure. In addition, the Bank and its subsidiaries had entered into a joint venture arrangement with Accenture Solutions Co.,Ltd and incorporated Arise by Infinitas Co., Ltd. to provide a wold-class human resource service on technology to support the digital business growth in Thailand and other countries.

The Bank and Its Subsidiaries' Performance for the Quarter and the Year Ended December 31, 2021

Overview Operating Income and Net Profit

Unit : Million Baht

	4/2021	3/2021	Change %	4/2020	Change %	2021	2020	Change %
Net interest income	21,345	21,142	1.0	20,320	5.0	83,372	88,343	(5.6)
Net fee and service income	5,160	4,753	8.6	5,283	(2.3)	20,022	20,528	(2.5)
Other non-interest income	3,423	2,439	40.3	2,967	15.4	12,392	13,377	(7.4)
Total operating income	29,928	28,334	5.6	28,570	4.8	115,786	122,248	(5.3)
Total other operating expenses	14,714	13,093	12.4	13,936	5.6	52,731	53,465	(1.4)
Pre-provision profit[1]	15,214	15,241	(0.2)	14,634	4.0	63,055	68,783	(8.3)
Expected credit losses	8,233	8,137	1.2	9,254	(11.0)	32,524	44,903	(27.6)
Operating profit before income tax expenses	6,981	7,104	(1.7)	5,380	29.8	30,531	23,880	27.9
Income tax expenses	1,418	1,381	2.6	1,257	12.8	5,975	4,441	34.6
Net Profit	5,563	5,723	(2.8)	4,123	35.0	24,556	19,439	26.3
Net profit (attributable to equity holders of the Bank)	4,944	5,055	(2.2)	3,453	43.2	21,588	16,732	29.0
ROA (%) [2]	**0.56**	**0.58**		**0.43**		**0.63**	**0.53**	
ROE (%) [2]	**5.49**	**5.75**		**4.03**		**6.14**	**4.91**	

(1) Pre-provision profit before provision for expected credit losses and income tax expense

(2) ROA and ROE calculated from net income (attributable to equity holders of the bank) divided by average assets and average equity attributable to equity holders of the bank respectively.

In 2021, KTB's consolidated pre-provision profit was Baht 63,055 million, declined by 8.3% YoY, depsite of a 12.6% loan growth Ytd. The compression was attributable to interest income from loan in relation to partial payment from the auction of mortgaged guarantee assets of Y2020. If excluding interest income received from the auction, pre-provision profit declined by 1.5% YoY in response to the low interest rate environment. The Bank and its subsidiaries had set aside the allowance for expected credit losses decreased by 27.6% YoY. Hence, consolidated net profit attributable to equity holders of the Bank was Baht 21,588 million, an increase by 29.0% YoY.

In 4Q2021, KTB's consolidated pre-provision profit was Baht 15,214 million, an increase of 4.0% YoY. This was the result of an increase in total operating income from both net interest income of 5.0% as the focusing on growth of quality loan together with an expanded other operating income, whilst the increase in total operating expenses of5.6%. Such increase of total operating expenses was mainly due to impairment loss of properties for sale. The Bank and its subsidiaries had set aside the expected credit losses amounted Baht 8,233 million, a decrease by 11.0% YoY; hence, consolidated net profit attributable to equity holders of the Bank amounted to Baht 4,944 million, increased by 43.2% YoY.

Compared to 3Q2021, KTB's consolidated pre-provision profit declined 0.2% QoQ. While the total operating income increase 5.6% despite an increase in total operating expenses of 12.4% due to impairment loss of properties for sale, an increase in IT cost to support its digital strategy together with an increase in marketing activities and employee expenses as seasonality. The Bank and its subsidiaries had set aside the expected credit losses at similar level to previous quarter.

Net Interest Income

Unit : Million Baht

	4/2021	3/2021	Change %	4/2020	Change %	2021	2020	Change %
Interest income	**26,768**	**26,419**	**1.3**	**25,843**	**3.6**	**104,832**	**112,837**	**(7.1)**
- Interbank and money market items	690	736	(6.3)	743	(7.1)	2,954	3,594	(17.8)
- Investments and trading transactions	108	103	4.9	64	68.8	345	435	(20.7)
- Investment in debt securities	1,103	562	96.3	990	11.4	3,437	4,251	(19.1)
- Loans	24,830	24,975	(0.6)	24,003	3.4	97,932	104,307	(6.1)
- Hire purchase and financial lease	24	26	(7.7)	22	9.1	104	184	(43.5)
- Others	13	17	(23.5)	21	(38.1)	60	66	(9.1)
Less Interest expense	**5,423**	**5,277**	**2.8**	**5,523**	**(1.8)**	**21,460**	**24,494**	**(12.4)**
- Deposits	2,539	2,440	4.1	2,902	(12.5)	10,302	13,765	(25.2)
- Interbank and money market items	385	414	(7.0)	437	(11.9)	1,607	1,860	(13.6)
- Contributions to BOT and DPA	1,604	1,531	4.8	1,476	8.7	6,145	5,687	8.1
- Debts issued	876	870	0.7	687	27.5	3,327	3,080	8.0
- Others	19	22	(13.6)	21	(9.5)	79	102	(22.5)
Net interest income	**21,345**	**21,142**	**1.0**	**20,320**	**5.0**	**83,372**	**88,343**	**(5.6)**
Earning Asset Yield (%)[1]	**3.10**	3.14		3.30		**3.13**	3.72[2]	
Cost of Fund (%)[1]	**0.72**	0.71		0.81		**0.73**	0.93	
Net interest margin [based on earning assets] (%)[1]	**2.47**	2.51		2.59		**2.49**	2.91[2]	

(1) Earning assets include financial assets measured at fair value through profit or loss; Interest bearing debts include financial liabilities measured at fair value through profit or loss.

(2) If excluding interest income received from the auction, earning asset yield and NIM for 2020 would be 3.56% and 2.76% respectively.

Though the strong loan growth of 12.6% Ytd, KTB's consolidated net interest income in 2021 amounted Baht 83,372 million, a decrease of 5.6 YoY due to interest income from loan in relation to partial payment from the auction of mortgaged guarantee assets of Y2020 together with lowered interest rate trend and the cost of fund management had lessened the impact. Hence, NIM registered at 2.49%, down from 2.91% (NIM at 2.49%, down from 2.76% if excluding interest income received from the auction).

KTB's consolidated net interest income in 4Q2021 amounted Baht 21,345 million, increased by 5.0 % YoY as a result from the strong loan growth and better cost of fund management. NIM resulted at 2.47 %, down from 2.59% in 4Q2020, as a result of the focusing quality loan growth.

Compared to 3Q2021, net interest income increased by 1.0% due to the loan expansion of 2.7% QoQ together with the expanded investment in debt securities and cost of fund management at a decreasing trend.Hence, NIM registered at 2.47%, decreased from 2.51% in 3Q2021, as a result of the focusing quality loan growth.

Change of interest rate

	31 Dec 2021	30 Sep 2021	30 Jun 2021	31 Mar 2021	31 Dec 2020	30 Sep 2020
Policy Interest Rate (%)	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Deposit Rate (%) [1]						
- Savings Rate	0.25%	0.25%	0.25%	0.25%	0.25%	0.25%
- 3 Months Fixed Rate	0.320%	0.320%	0.320%	0.320%	0.375%	0.375%
- 6 Months Fixed Rate	0.400%	0.400%	0.400%	0.400%	0.50%	0.50%
- 12 Months Fixed Rate	0.400%	0.400%	0.400%	0.400%	0.50%	0.50%
Loan Rate (%)						
- MLR	5.250%	5.250%	5.250%	5.250%	5.250%	5.250%
- MOR	5.820%	5.820%	5.820%	5.820%	5.820%	5.820%
- MRR	6.220%	6.220%	6.220%	6.220%	6.220%	6.220%

(1) Standard deposit rate for individuals.

In 2020, given the assessment on Thai economy's contraction from impact of global pandemic, the Monetary Policy Committee, Bank of Thailand had announced series of policy rate cuts, having 3 times cut to 0.50%. in May 2020. Furthermore, the Bank of Thailand announced the measure on lower contribution from financial institutions to the FIDF (FIDF fee) from 0.46% to 0.23% as announced on April 7, 2020. The Bank had gradually been cutting lending rates of MLR, MOR and MRR until the latest cut in May 2020 to help business operators and retail customers. BOT has recently extended the lowered FIDF fee until ended 2022.

Net Fee and Service Income

Unit : Million Baht

	4/2021	3/2021	Change %	4/2020	Change %	2021	2020	Change %
Fee and service income	7,168	6,764	6.0	7,217	(0.7)	28,310	27,690	2.2
Less Fee and service expense	2,008	2,011	(0.2)	1,934	3.8	8,288	7,162	15.7
Net fee and service income	**5,160**	**4,753**	**8.6**	**5,283**	**(2.3)**	**20,022**	**20,528**	**(2.5)**

KTB's consolidated net fee and service income in 2021 was Baht 20,022 million, compressed by 2.5 % YoY, mainly relate to the slowdown of economic situation and customers' shift in service channel toward digital transactions, whilst expansion on acceptance, aval and guarantees fee and management fee.

KTB's consolidated net fee and service income in 4Q2021 was Baht 5,160 million, a decrease by 2.3 % YoY, mainly relate to the slowdown of economic situation and customers' shift in service channel toward digital transactions, whilst expansion on acceptance, aval and guarantees fee and management fee. **Compared to 3Q2021**, KTB's consolidated net fee and service income increased 8.6%, mainly from the expansion on acceptance, aval and guarantees fee and and higher card related fee.

Total Other Operating Income

Unit : Million Baht

	4/2021	3/2021	Change %	4/2020	Change %	2021	2020	Change %
Gains (loss) on financial instruments measured at fair value through profit or loss	960	682	40.8	750	28.1	3,467	3,134	10.6
Gain (loss) on investments, net	15	56	(73.7)	56	(73.7)	711	951	(25.2)
Share of profit (loss) from investments for using equity method	197	213	(7.4)	492	(59.8)	1,046	2,060	(49.2)
Dividend income	24	65	(63.8)	46	(49.0)	379	376	0.8
Other income	2,227	1,423	56.5	1,623	37.2	6,789	6,856	(1.0)
Total other operating income	**3,423**	**2,439**	**40.3**	**2,967**	**15.4**	**12,392**	**13,377**	**(7.4)**

KTB's consolidated total other operating income in 2021 was Baht 12,392 million, a decrease by 7.4% YoY, mainly due to an increase in share of profit from investments for using equity method and gain on investments, net.

KTB's consolidated total other operating income in 4Q2021 was Baht 3,423 million, an increase by 15.4% YoY, mainly due to gains on financial instruments measured at fair value through profit or loss and an increase of other income from bad debt recovery. **Compared to 3Q2021**, KTB's consolidated total other operating income increased by 40.3%, mainly due to an increase of other income from bad debt recovery together with gains on financial instruments measured at fair value through profit or loss.

Other Operating Expenses

Unit : Million Baht

	4/2021	3/2021	Change	4/2020	Change	2021	2020	Change
			%		%			%
Employees' expenses	6,887	6,748	2.1	6,844	0.6	27,311	28,466	(4.1)
Premises and equipment expenses	2,453	2,293	7.0	2,377	3.2	9,017	8,896	1.4
Taxes and duties	1,032	935	10.3	916	12.7	3,915	3,798	3.1
Impairment loss of properties for sale	1,014	517	96.1	427	137.3	2,084	1,538	35.5
Others[1]	3,328	2,600	28.0	3,372	(1.3)	10,404	10,767	(3.4)
Total other operating expenses	**14,714**	**13,093**	**12.4**	**13,936**	**5.6**	**52,731**	**53,465**	**(1.4)**
Cost to income ratio (%)	49.16	46.21		48.78		45.54	43.73[2]	

(1) Including Directors' remuneration

(2) If excluding interest income received from the auction, cost to income ratio for 2020 would be 45.50%.

KTB's consolidated other operating expenses in 2021 was Baht 52,731 million, a decrease by 1.4% YoY mainly due to the operating cost management in the slowdown economy given interest rate pressure. This resulted in cost to income ratio of 45.54%, increased from 43.73% in 2020 (cost to income was at similar level to 45.50% if excluding special transactions in 2020).

KTB's consolidated other operating expenses in 4Q2021 was Baht 14,714 million, increased by 5.6% YoY, mainly from impairment loss of properties for sale. Hence, cost to income ratio stood at 49.16%, increased from 48.78% in 4Q2020. **Compared to 3Q2021**, KTB's consolidated other operating expenses increased by 12.4% QoQ, due to impairment loss of properties for sale, an increase in IT cost to support its digital strategy together with an increase in marketing activities and employee expenses as seasonality; therefore, cost to income ratio stood at 49.16%, increased from 46.21%.

Expected credit losses / Impairment Loss of Loans

Unit : Million Baht

	4/2021	3/2021	Change	4/2020	Change	2021	2020	Change
			%		%			%
Expected credit losses [1]	8,233	8,137	1.2	9,254	(11.0)	32,524	44,903	(27.6)

(1) Expected credit losses for interbank and money market items, investments in debt securities, loans to customers (including loss from criteria change) and loan commitments & financial guarantee contracts

In 2021, the Bank and its subsidiaries' expected credit losses amounted Baht 32,524 million, decreasing 27.6% YoY given thorough considerations of various factors in the continuously changing business environment and in this economic situation of high uncertainties. The Bank's consolidated coverage ratio increased to 168.8% from 163.9 % as at September 30, 2021 and from 147.3% as at December 31, 2020, though having an improvement in NPL ratio.

In 4Q2021, the Bank and its subsidiaries thoroughly considered various factors in the continuously changing business environment and in this economic situation of high uncertainties that could impact loan quality; hence, the expected credit losses amounted Baht 8,233 million, decreasing 11.0% YoY. **Compared to 3Q2021**, the expected credit losses were set aside in the similar level to previous quarter.

The Bank and Its Subsidiaries' Financial Status as at December 31, 2021

Loans to Customers

The Bank's consolidated loans to customers was Baht 2,628,963 million, increased by 12.6% compared to the end of 2020, from all customers segments especially from government customers. Compared to September 30, 2021, loans to customers increased by 2.7% largely from government and corporate customers.

Unit : Million Baht

Consolidated Financial Statements	31 Dec 2021	30 Sep 2021	Change	31 Dec 2020	Change
			%		%
Loans to customers	2,629,259	2,560,332	2.7	2,335,241	12.6
Less Deferred revenue	296	347	(14.6)	399	(25.7)
Add Accrued interest receivables	20,579	19,118	7.6	16,199	27.0
Less Allowance for expected credit losses	173,322	167,201	3.7	150,528	15.1
Loans to customers and accrued interest receivables, net	**2,476,220**	**2,411,902**	**2.7**	2,200,513	**12.5**

Loan breakdown by type of borrowers (Consolidated's Financial Statements)

Unit : Million Baht

Consolidated Financial Statement	31 Dec 2021		30 Sep 2021		Change	31 Dec 2020		Change
	Amount	(%)	Amount	(%)	%	Amount	(%)	%
Private Corporate	708,654	27.0	693,758	27.1	2.1	655,583	28.1	8.1
Government and State Enterprise	553,041	21.0	519,156	20.3	6.5	367,293	15.7	50.6
SMEs [1]	327,724	12.5	325,588	12.7	0.7	320,204	13.7	2.3
Retail	1,039,448	39.5	1,021,482	39.9	1.8	991,804	42.5	4.8
- Housing	445,012	16.9	444,078	17.4	0.2	430,281	18.4	3.4
- Personal	531,035	20.2	519,519	20.3	2.2	496,443	21.3	7.0
- Credit card	59,953	2.3	54,303	2.1	10.4	59,990	2.6	(0.1)
- Leasing [2]	3,448	0.1	3,582	0.1	(3.7)	5,090	0.2	(32.3)
Others	392	0.0	348	0.0	12.9	357	0.0	9.91
Total loans (per F/S)	**2,629,259**	**100.0**	**2,560,332**	**100.0**	**2.7**	**2,335,241**	**100.0**	**12.6**

(1) SMEs definition has been adjusted by referring mainly to annual sales. Historical data were revised for comparable purpose.

(2) In May 2021, the Bank sold the 75.05 percent of KTB Leasing's ordinary share to KTC, therefore, KTB Leasing were KTC's subsidiary. The Bank's consolidated financial statement had no impact from such transaction.

Asset Quality

Loan classification and expected credit loss

Unit : Million Baht

Consolidated Financial Statement	31 Dec 2021	30 Sep 2021	31 Dec 2020
Gross NPL [1]	106,809	106,367	107,138
Gross NPL Ratio	3.50%	3.57%	3.81%
Allowance for Expected Credit Losses (total) [2]	180,311	174,313	157,854
Coverage Ratio [3]	168.8%	163.9%	147.3%

(1) Gross NPLs based on principal less deferred revenue while including interbank and money market items

(2) Allowance for expected credit loss (total) = Allowance for expected credit losses for interbank and money market items, loans to customers and loan commitments & financial guarantee contracts

(3) Coverage Ratio = Allowance for expected credit losses for interbank and money market items, loans to customers and loan commitments & financial guarantee contracts / Gross NPLs

Unit : Million Baht

Consolidated Financial Statement	31 Dec 2021		30 Sep 2021		31 Dec 2020	
	Loans and Accrued Interest Receivables [1]	Allowance for Expected Credit Losses [2]	Loans and Accrued Interest Receivables [1]	Allowance for Expected Credit Losses [2]	Loans and Accrued Interest Receivables [1]	Allowance for Expected Credit Losses [2]
1. Loan Classification						
Performing	2,306,478	44,722	2,240,801	41,442	2,013,375	32,093
Under - performing	228,443	48,923	223,330	46,583	223,501	41,627
Non - performing	111,422	77,334	111,666	77,449	109,407	74,204
Lifetime ECL - simplified approach [3]	3,199	2,343	3,306	1,727	4,758	2,604
Total	2,649,542	173,322	2,579,103	167,201	2,351,041	150,528

(1) Loan less deferred revenue while including accrued interest receivables and undue interest receivables

(2) Allowance for expected credit losses for loans to customers (including loss from criteria change) per financial statements

(3) Lifetime ECL – simplified approach is the approach of the Bank's subsidiary to recognize the allowance for expected credit losses on lifetime of finance lease receivables

The Bank's consolidated NPLs-Gross as at December 31, 2021 amounted Baht 106,809 million. NPLs Ratio-Gross reduced to a controllable level of 3.50%, from 3.81% as at December 31, 2020 as a result from a close monitoring and continual asset quality management. The additional expected credit losses has been set aside given thorough considerations on various factors in high uncertainties to strengthen coverage ratio. Hence, the Bank's consolidated coverage ratio as at September 30, 2021 increased to 168.8% from 163.9% as at September 30, 2021 and 147.3% as at December 31, 2020.

Deposits

The Bank's consolidated deposits was Baht 2,614,747 million, increased by 6.2% from December 31, 2020 due to an increase of saving and current deposits. Hence, the portion of current deposit and savings deposit to total deposit (CASA) accounted at 84%. Compared to September 30, 2021, deposit increased by 1.3 % from saving deposits.

The Bank's consolidated loans to customers (less deferred revenue)-to-deposits ratio (L/D ratio) of 100.54% increased from 99.14% as at September 30, 2021 and from 94.79% as at December 31, 2020.

Sources and Uses of Funds

Unit : Million Baht

	31 Dec 2021		30 Sep 2021		Change	31 Dec 2020		Change
	Amount	(%)	Amount	(%)	%	Amount	(%)	%
Net Interbank and money market items (asset)	469,216	13.2	484,588	13.9	(3.2)	516,792	15.5	(9.2)
Financial assets measured at fair value through profit or loss	18,039	0.5	38,175	1.1	(52.7)	13,724	0.4	31.4
Net investments and net investments in associates	364,017	10.2	294,426	8.4	23.6	346,388	10.4	5.1
Loans to customers (less deferred revenue)	2,628,963	73.9	2,559,985	73.2	2.7	2,334,842	70.2	12.6
Less Allowance for expected credit losses	173,322	4.8	167,201	4.8	3.7	150,528	4.5	15.1
Other assets	249,831	7.0	287,188	8.2	(13.0)	266,562	8.0	(6.3)
Total Asset	**3,556,744**	**100.0**	**3,497,161**	**100.0**	**1.7**	**3,327,780**	**100.0**	**6.9**
Deposits	2,614,747	73.5	2,582,228	73.8	1.3	2,463,225	74.0	6.2
Net Interbank and money market items (liabilities)	296,344	8.3	248,699	7.1	19.2	274,566	8.2	7.9
Debt issued and borrowings	133,817	3.8	133,069	3.8	0.6	86,564	2.6	54.6
Other liabilities	137,725	3.9	165,827	4.8	(16.9)	148,361	4.5	(7.1)
Total equity	374,111	10.5	367,338	10.5	1.8	355,064	10.7	5.4
- Equity holders of the Bank	360,052	10.1	354,048	10.1	1.7	343,466	10.3	4.8
- Non-controlling interest	14,059	0.4	13,290	0.4	5.8	11,598	0.4	21.2
Total liabilities and equity	**3,556,744**	**100.0**	**3,497,161**	**100.0**	**1.7**	**3,327,780**	**100.0**	**6.9**
Loans to customers (less deferred revenue)-to-deposits ratio (%)	**100.54**		**99.14**			**94.79**		

As at Dec 31, 2021, the Bank's consolidated major source of funds was 73.5% deposits; and the other source of funds as equity, interbank borrowings, and debt issued and borrowings. Debt issued and borrowings increased from the end of 2020 due to the issuance of Additional Tier I Subordinated Notes in amount of USD 600 million to overseas institutional investors. The Bank's consolidated use of funds comprised of 73.9% loans to customers (less deferred revenue), 13.2% net interbank and money market items, and 10.2% net investments and net investments in associates.

Equity

The total equity (equity holders of the Bank) as at Dec 31, 2021 was Baht 360,052 million, increased 4.8% from December 31, 2020.

Book value per share (equity holders of the Bank) was Baht 25.75 per share increased from Baht 24.57 per share at December 31, 2020.

Statutory Capital Fund

Statutory Capital Fund (The Bank's Financial Statements)

Unit : Million Baht

The Bank's Financial Statements	31 Dec 2021[2]		30 Sep 2021[2]		31 Dec 2020		The minimum rate required (%)[1]
	Amount	(%)	Amount	(%)	Amount	(%)	
Common Equity Tier 1 capital	309,037	15.60	303,979	15.17	293,683	15.35	>8.000
Tier 1 capital	327,685	16.54	322,626	16.10	293,683	15.35	>9.500
Tier 2 capital	66,310		66,474		65,332		
Total capital fund	393,995	19.88	389,100	19.42	359,015	18.76	>12.000
Risk-weighted assets	1,981,545		2,003,536		1,913,769		

(1) According to BOT's regulation, the minimum capital ratios of Commercial Banks in Thailand will be increased to absorb capital conversation buffer until the capital buffer ratio of more than 2.50% is reached on January 1, 2019. Moreover, KTB was named as the one-sixth of the Domestic Systemically Important Banks (D-SIBs) (TTB is identified as one of domestic systemically important banks as prescribed by the Bank of Thailand in August 2021) requiring to hold all capital ratios to absorb higher loss absorbency of additional 1% of risk-weight assets from January 1, 2020 onwards (reference to the BOT Notification Sor.Nor.Sor. 16/2560 and 17/2560)

(2) Capital fund and capital adequacy ratio are preliminary information prepared accordance with BOT guidelines.

As at December 31, 2021, the Bank's Common Equity Tier 1 was Baht 309,037 million, Tier 1 capital was Baht 327,685 million and Total capital was Baht 393,995 million (15.60%, 16.54% and 19.88% of its RWA).

In March 2021, the Bank issued Additional Tier I Subordinated Notes in amount of USD 600 million to overseas institutional investors in order to strengthen its Tier I capital and enhance its future investment prospect and growth opportunity.

The Bank possesses healthy capital ratios compared to BOT's requirement. Moreover, the Bank regularly reassesses the capital level to be in accordance with the BOT's requirement.

Appendix

Relief Measures in Response to the Impacts of the COVID-19 Pandemic

Relief Measures in 2021

KTB's Relief Measures

Realizing the importance to uphold the economy, the Bank had issued relief measures to help customers (updated April 27, 2020) as follows:

- Retail loan on both personal loan under supervision (such as Smart Money loan, Multi-purpose loan 5 Plus) and housing loan (such as Home Easy Cash loan) (not exceeding Baht 3 million): 4-month debt payment holiday on principal and interest together with 4-month lower interest rate of 0.25% per annum on existing loan agreement.

  In addition, personal and housing loans with document proof of reduced income shall have 6-month debt payment holiday on principal (payment on interest only) together with 6-month lower interest rate of 0.25% per annum on existing loan agreement.
- Business loan (not exceeding Baht 100 million): 6-month debt payment holiday on principal and interest automatically
- Business loan of medium-size or higher with document proof of reduced income: up to 12-month debt payment holiday on principal for term loan together with up to 6-month debt payment extension for P/N and trade finance
- Supporting soft loans for liquidity on business loan (not exceed Baht 500 million): up to 20% credit limit of outstanding loan as at December 31, 2019 for up to 5-year tenure with first 2-year interest rate of 2.0% per annum, together with up to 12-month debt payment holiday on principal and first 6-month of no interest payment; participating in SFIs' supporting soft loans based on the stated criteria.
- Continual lending rate cuts on MLR, MOR and MRR since end of last year till 2Q2020 (latest lending rate cut effective on May 22, 2020) on a cumulative of -0.65% to -1.05%

These measures will ease loan burden and increase liquidity at present while the Bank will closely work with customers to consider the financial structure for their businesses in conjunction with the pre-emptive financial restructuring in order to provide additional assistance.

BOT's Relief Measures Phase 2

BOT had announced relief measure phase 2 for retail customers impacted from COVID-19 on the following:

1. Reduction on interest rate ceilings, service fee, and penalty (interest) for credit cards and personal loan under supervision (effective August 1, 2020 onwards) on the following details:

Type	Prevision ceiling (% per annum)	New ceiling (% per annum)
1. Credit card	18	16
2. Personal loan under supervision		
- Revolving credit	28	25
- Installment payment	28	25
- Auto title loan	28	24

2. Credit limit extension on credit card and personal loan under supervision (effective August 1, 2020 onwards)

For customers who are in need of additional credit limit and continuously pay on time with average income less than Baht 30,000 per month, temporary extending credit limit from 1.5 times to 2 times of average monthly income till December 31, 2021.

3. Additional relief measures phase 2 for retail customers (effective July 1, 2020 onwards)

The scope and period of such relief measures for retail customers impacted from COVID-19 and not considered as NPLs as at March 1, 2020 are detailed below given options of minimum assistance by type of credit available to the impacted customers.

Type	Minimum Relief Measures
1. Credit card	Convert into loan of 48 installment or extend payment period according to debtor's payment ability with interest rate 12% per annum
2. Personal loan under supervision: revolving loan such as cash loan card	1. Reduce minimum installment payment according to payment ability or 2. Convert into loan of 48 installment or extend payment period according to debtor's payment ability with interest rate 22% per annum
3. Personal loan: installment payments and hire purchase (automotive)	Reduce installment: at least 30% of previous installment with interest rate 22%
4. Hire purchase	1. Debt payment holiday (principal and interest): 3-month or 2. Reduce installment by extending payment period
5. Home loan or Home for Cash	1. Debt payment holiday (principal and interest): 3-month or 2. Debt payment holiday (principal): 3-month and reconsider interest rate as appropriate or 3. Reduce installment by extending payment period

Customer who would like to request for assistance could contact the Bank through various channels such as application, website, call center or SMS channel.

BOT's Guideline on Assistance for SME Post Relief Program under the Royal Decree

Given the Emergency Decree on Financial Assistance to SME affected by Coronavirus Pandemic B.E. 2563 (2020) with measure on loan payment holiday ending October 22, 2020, BOT had additionally announced on October 16, 2020 the guideline on continual assistance for debtors, taking into consideration on previous assistance by financial institution to SME during this uncertain situation of the pandemic. Guideline included:

1. To consider debt restructuring for SME based on their repayment capability. In the case of financial institution undergoes debtor's evaluation process on debt restructuring, it is allowed for financial institution to maintain debtor's asset classification till December 31, 2020 as prior to pre-relief measure.
2. In the case of financial institution was unable to clearly evaluate the debtor's cash flow, it is allowed for financial institution to provide assistance in the form of payment holiday on principal and/ or interest based on each debtor's repayment capability for up to 6 month from end-2020.

The period of standstill on debtor's asset classification and of payment holiday shall not be considered as part of the contract's default terms and conditions.

Additionally, BOT had extended the soft loan application period of financial institution to BOT for another 6 month in conjunction with extending the qualification of eligible soft loan borrower to include company in MAI.

BOT's Additional Measures

Given the ongoing COVID-19 pandemic situation far from recovery with high uncertainty, BOT had requested commercial banks on no interim dividend payment based on 2020 performance and no share repurchase, effective on June 18, 2020. In addition, commercial banks shall have capital management plan for the next 1-3 years in order to maintain strong capital level and to continuously support business operation.

Additionally, BOT had launched DR BIZ program as the mechanism for multi-creditors businesses to manage debt restructuring according to the debtor's capability under a one-stop service. Furthermore, debt consolidation practice helped debtors with repayment potentials by consolidating loans on housing and other retail loans, such as credit card, personal loan under supervision and hire purchase, utilizing the remaining value of collateral under housing loans.

On October 29, 2020, BOT had announced guidelines regarding the interest calculation on amount overdue, the sequence of debt repayment in reducing NPL as well as debt burden, and the support on debt restructuring negotiation per 3 important topics as follows:

Guideline	Financial service provider	Effective Date
1. Interest calculation on amount overdue based on only the overdue principal excluding the principal of future installments not yet due	- Financial institution and the Financial Business Group - SFI - Non-bank entity operating personal loan business under supervision	April 1, 2021
2. Interest rate on amount overdue based on contractual interest plus no more than 3% per annum	- Non-bank entity operating retail loan business under supervision - Asset management company	July 1, 2021
3. The sequence of debt repayment by first repaying the fee, interest and principal of longest overdue	- All financial service provider	July 1, 2021

Additionally, the waive or leniency of overdue interest could be considered for the overdue prior to April 1, 2021.

On December 22, 2020, the BOT had updated the guideline on SME affected by COVID-19 (soft loan) for flexibility. This included the adjusted definition of "Business Group" to separately consider the relationship of individual from corporate entity, in which only one-level of corporate entity relationship shall be considered. The additional adjustment also included the increased frequency for SME soft loan application to no more 2 times instead of only once.

On January 12, 2021, the BOT had assessed the domestic pandemic of the new waves of COVID-19 to be widespread in many regions, affecting debtors directly and indirectly. Therefore, the BOT had requested financial institutions, SFIs and non-financial institutions operators (non-bank companies) to quickly and continually provide financial assistance to debtors who effected from such situation per additional relief guidelines as follows:

1. To extend the filing period for retail debts' relief request till June 30, 2021 from previous timeframe of July 1 2020 till December 31, 2020. In the case of lenders providing credit to employees or operational workers, debtors could file for relief request directly as well as employers or business owners could also file for such request on their behalf; for instance, employee welfare loan or other retail loans given the consent of debtors who are employees or operational workers, in order to facilitate the efficiency and timeliness on the relief request.

The extended relief measures for retail customers impacted from COVID-19 are as follows.

Type	Minimum Relief Measures
1. Credit card	Convert into loan of 48 installment or extend payment period according to debtor's payment ability with interest rate 12% per annum

Type	Minimum Relief Measures
2. Personal loan under supervision: revolving loan such as cash loan card	1. Reduce minimum installment payment according to payment ability or 2. Convert into loan of 48 installment or extend payment period according to debtor's payment ability with interest rate 22% per annum
3. Personal loan: installment payments and hire purchase (automotive)	Reduce installment: at least 30% of previous installment with interest rate 22%
4. Hire purchase	1. Debt payment holiday (principal and interest): 3-month or 2. Reduce installment by extending payment period
5. Home loan or Home for Cash	1. Debt payment holiday (principal and interest): 3-month or 2. Debt payment holiday (principal): 3-month and reconsider interest rate as appropriate or 3. Reduce installment by extending payment period

2. For SMEs, financial institutions and SFIs shall provide financial assistance to qualified SMEs through payment deferment according to the Royal Decree Re: Financial Assistance to SME affected by Coronavirus Pandemic. This included payment deferment on principal and/ or interest depending on debtor capability on a case-by-case basis given appropriate timeline but not exceeding end of June 2021.

3. Financial assistance guideline for all types of debtors (i.e. retails, SMEs and corporate clients with potentials) shall be considered appropriately on loan types, debtors' risk level, nature of business and impact regions for:

   3.1. Debt restructuring. For example, lower installment, payment extension, credit limits extension or maintenance, loan conversion from short-term to long-term, temporary payment holiday on principal and/ or interest, lower interest rate than market rate, appropriate reduction on principal prior to interest upon repayment, and etc.

   3.2. Additional working capital and liquidity enhancement

   3.3. Consideration on payment deferment for SMEs with loans not exceeding Baht 100 million under the Emergency Royal Decree on Soft Loan

   3.4. Leniency on other terms and conditions as appropriate

Accounting Guidance on Temporary Relief Measures for Entities Providing Assistance to Debtors Impacted by Situations That Affect the Thai Economy

On February 28, 2020, the BOT had revised the regulations for commercial banks to support customers under pre-emptive measures. For Non-NPL customer as at January 1, 2020, bank could classify such loan as Stage 1 with no identification as troubled debt restructuring: TDR given that if it is foreseen that debt restructuring agreement could be complied by customer; moreover, bank could classify loan in performing stage if NPL customer could make payment for 3 consecutive months or installments under the new debt restructuring agreement. This is applicable for debt restructuring during January 1, 2020 till December 31, 2021.

Another measure involved provisioning, in which expected credit losses shall be calculated only for the drawn portion.

Relief Measures in 2021

On March 23, 2021, The Bank of Thailand, the Ministry of Finance, and related parties recognized a number of challenges from the COVID-19 pandemic faced to the Thai economy since early 2020. Moreover, the business recovery is likely to be uneven, especially for SMEs with limited access to capital, as well as businesses that are hard-hit by the pandemic. Under such circumstances, the existing short-term relief measure is insufficient to handle the prolonged nature of the situation. BOT and the Ministry of Finance, then, proposed two new measures include **1) Soft loan facility for businesses** (totaling 250 billion baht) to support viable small and medium enterprises (SMEs) affected by the COVID-19 crisis and **2) Debt restructuring through Asset Warehousing with Buy-Back options** (totaling 100 billion baht) provides standardized debt restructuring program for adversely affected borrowers whose businesses require prolonged recovery period, while possessing viable business models and collaterals. The details are as follows

Measures	Soft Loan Facility for Businesses	Debt Restructuring through Asset Warehousing with Buy-Back options
Total Credit Line	THB 250 billion	THB 100 billion
Period	2-year loan withdrawal period from the BOT, maximum 5-year term loan	
Objectives	Provide liquidity for business operations as well as for business recovery	Financial relief for affected businesses with prolonged recovery period
Target Groups	1. Existing borrowers with existing credit line not exceeding THB 500 million as of 28 February 2021 and whose loan statuses are not NPL as of 31 December 2019 2. New borrowers with no existing credit line with financial institutions (FIs) as of 28 February 2021	Borrowers with collaterals prior to 28 February 2021 whose loan statuses are not NPL as of 31 December 2019
Conditions	**Loan offer** 1. Credit limits per borrower 1.1. Existing borrower: not exceeding 30% of credit line as of 31 December 2019 or 28 February 2021, whichever is greater, but not exceeding THB 150 million 1.2. New borrower: not exceeding THB 20 million 2. Interest rate: FIs will provide loan with interest rate not exceed an average of 5% per annum for 5 years, and at 2% in the first 2 years.The government will subsidize interest for the first 6 months. **Loan guarantee** 1. Guarantee period: 10 years 2. Compensation rate: not exceeding 40% of loan portfolio 3. Fee: average at 1.75% per annum, which the government will compensate in total of 3.5% through government guarantee mechanisms by the Thai Credit Guarantee Corporation (TCG)	Both FIs and borrowers mutually agree to transfer collaterals for debt repayment purpose. Additional conditions include: - A borrower has the first rights to repurchase collaterals back within 5 years. The repurchase price should not be higher than the transfer price plus carrying cost (1% per annum of the transfer price) as well as incurred asset maintenance costs and other relevant fees. - A borrower has the first rights to rent the collateral asset. Rents received by FI will be deducted from the repurchase price. No additional maintenance costs shall be incurred if the borrower rents the asset.

Government support	**BOT**: liquidity support at 0.01% interest rate for FIs in providing loan. **Government**: 1. MOF: support loan guarantee mechanisms 2. MOF, the Ministry of Interior, and the Ministry of Commerce: will reduce fees related to asset transfers to 0.01% and exempt mortgage registration and business collateral registration fees.	**BOT**: liquidity support at 0.01% to FIs for the value of asset transfers. Government: MOF, the Ministry of Interior, and the Ministry of Commerce: reduce or exempt taxes and relevant fees for both the transfers and the repurchase of the assets for original owners.

BOT's liquidity support for soft loan facility and debt restructuring through asset warehousing with buy-back options will be granted upon requested by financial institutions, effective from April 26, 2021 onwards.

On July 16, 2021, according to BOT relief measure for SMEs and retail customers whose has directly impact from the temporarily closed business as advised by the government, the Bank has announced a 2-month debt payment holiday on principal and interest for business and employee in restricted area and non-restricted area whose have impact from the temporarily closed business as advised by the government, start from the July payment period. Customers are able to contact the Bank for assistance from July 19, 2021 until August 15, 2021. Criteria for consideration are as prescribed by the Bank.

Additionally, the Bank provided 7 relief measures for customers as follows

Relief measures for retail customers 3 measures (from May 31, 2021)

1. Home loan, Home for Cash loan and Home Easy Cash loan (Term Loan) : up to 12-month debt payment holiday on principal (pay part of interest) or reduce installment by extending payment period up to 12 monthes or up to 3-month debt payment holiday on principal (pay interest)
2. Personal loans (Term Loan) : reduce 30% of installment amount up to 6 monthes
3. Personal Revolving Loan (Krungthai Thanawat loans and Krungthai Thanawat loan): convert into loan of 48 installment or extend payment period according to debtor's payment ability.

Relief measures for non-retail customers 4 measures

1. **Soft loan facility for business customers:** interest rate at 2% per annum in the first 2 years (an average interest rate for 5 years not exceed 5% per annum), loan tenor up to 10 years, interest waived up to 6 monthes and government guarantee period up to 10 years by the Thai Credit Guarantee Corporation (TCG)

2. **Relief measure for business customers**
   - Business loans (term loan; credit limit not exceeding Baht 20 million) : up to 6-month debt payment holiday on principal (pay interest) or reduce installment by extending payment period up to 24-month for P/N and up to 6 monthes for trade finance.
   - Business loans : (term loan; credit limit of Baht 20 - 500 million) : up to 12-month debt payment holiday on principal (pay interest) for P/N and up to 6-monthes for trade finance.

3. **Debt Restructuring through Asset Warehousing with Buy-Back options** : temporarily lessen debt burden in prolonged recovery period for potential customers with collaterals by transferring collaterals for debt repayment purpose with the rights to repurchase collaterals back in future. The repurchase price should not be higher than the transfer price plus carrying cost (1% per annum of the transfer price plus incurred asset maintenance costs and other relevant fees paid by the Bank deduct rental fee paid from customers)
4. **DR BIZ program** : as debt consolidation for business loans with credit line from multi-creditors of Baht 50 – 500 million to manage debt restructuring according to the debtor's capability ie. reduce installment, extending payment period as well as liquidity support for potential customers with solid business plan. Criteria for consideration are as prescribed by the Bank.

On August 20, 2021, The Bank of Thailand announced the additional COVID-19 relief measure for sustainable assistant as follows

1. The liquidity assistant and soft loan to SMEs and retail customers
   1.1 The adjusted soft loan criteria to SMEs (depending on each financial institution's definition) through the credit limit extension to existing customers who have low credit limit or new customer are as follows
      - Existing borrower : credit limit per borrower not exceeding 30% of credit line as of 31 December 2019 or 28 February 2021, whichever is greater (not exceeding THB 150 million) or not exceeding THB 50 million for borrower with 30% of credit limit less than THB 50 million.
      - New borrower : credit limit per borrower not exceeding THB 50 million.

      Furthermore, additional loan guarantee conditions will be provided for the vulnerable borrower.
   1.2 The relaxation of relief measures for retail customers including credit card, personal loan under supervision and digital personal loan are as follows
      - Credit card and personal loan : maintain the minimum payment at 5% and credit limit extension for less than THB 30,000 average monthly income customers.
      - Digital personal loan : extension of credit limit and payment period.

2. The supportive creteria to financial institution for long-term debt restructuring measure

2.1 Financial institutions are able to maintain the current classification of restructured retail and SMEs loans until March 31, 2022 (SMEs' definition depending on each financial institution) in order to have sufficient debt restructuring consideration time.

2.2 The extension of flexible loan classification and allowance for expected credit loss criteria until year 2023 will help less burden for financial institution to provide sustainable debt restructuring measure (multiple debt restructuring instrument, not only payment period extension).

2.3 Extended the lowered contribution from financial institutions (FIDF fee) to 0.23% (from 0.46%) until ended 2022 (from previously ended 2021) for financial institution to provide continual less burden assistant to private sector and individual.

Credit Ratings

Bank's credit ratings rated by S&P Global Ratings, Moody's Investors Service and Fitch Ratings were as follows:

S&P Global Ratings	December 2021	September 2021	December 2020
- Long-term/ Short-term	BBB / A-2	BBB / A-2	BBB / A-2
- Outlook	Negative[3]	Negative	Watch Negative[1]
- Stand-Alone Credit Profile (SACP)	bb+	bb+	bb+
Moody's Investors Service	**December 2021**	**September 2021**	**December 2020**
- Long-term/ Short-term	Baa1 / P-2	Baa1 / P-2	Baa1 / P-2
- Outlook	Stable	Stable	Stable
- Baseline Credit Assessment (BCA)	baa3	baa3	baa3
- Additional Tier I Subordinated Notes (USD) [2]	Ba3	Ba3	--
Fitch Ratings	**December 2021[4]**	**September 2021**	**December 2020**
Foreign Currency Credit Ratings			
- Long-term/ Short-term	BBB+ / F1	BBB / F2	BBB / F2
- Outlook	Stable	Stable	Stable
- Viability Rating	bbb-	bbb-	bbb-
National Credit Ratings			
- Long-term/ Short-term	AAA(tha) / F1+ (tha)	AA+(tha) / F1+ (tha)	AA+(tha) / F1+ (tha)
- Outlook	Stable	Stable	Stable
- Senior unsecured debentures (Baht)	AAA(tha)	AA+(tha)	AA+(tha)
- Subordinated Debt (Baht)	AA(tha)	AA-(tha)	AA-(tha)

(1) On August 24, 2020, S&P Global Ratings had placed ratings on the Bank and Senior Unsecured as CreditWatch with negative implications.

(2) On March 25, 2021, the Bank issued Additional Tier I Subordinated Notes to overseas institutional investors

(3) S&P Global Ratings removed CreditWatch with negative implications from all ratings to negative outlook on October 20, 2021.

(4) On December 1, 2021, Fitch Ratings had upgraded the following credit ratings by one notch; Foreign currency credit ratings – long-term/short-term (from BBB/F2) and National credit ratings – long-term (from AA+ (tha)), senior unsecured debentures (Baht) (from AA+(tha)) and subordinated debt (Baht) (from AA-(tha)).

On December 1, 2021, Fitch Ratings has upgraded the Bank's Foreign Currency Long-Term and Short-Term Issuer Default Rating, the National Long-Term Rating and senior unsecured debt ratings and subordinated debt ratings by one notch. The rating actions reflect KTB's prominent policy role over the course of the coronavirus pandemic-related economic challenges in Thailand.

Note: The percentage change stated in this document was calculated from the financial statement figures.

Disclaimer

This document contained information regarding the Bank's financial performance and business operations, macro-economic data and other relevant information, which some parts of such information are forward-looking statements based on the view or assumptions of the Bank on current information. In case of changing in such information, the Bank reserves the right to change any information herein without prior notice. As the actual results in the future may differ materially from those anticipated in this document and this document shall not be deemed to be a guarantee of the Bank's financial performance and business operations in the future, investors, therefore, should exercise individual judgment when considering the Bank's information for any purpose.